TEACHER GUIDE

SQA Higher Business Management (C810 76)

Product portfolio

Management of marketing
Product: product life cycle, product portfolio



A revision lesson. Pupils run a car dealership in firms of four and revise product portfolio on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 One-model risk

Round 1

Most of your profit comes from one model, whose market has stopped growing.

What is the main risk to your firm?

- **A** Its price is too low
- **B** Too many models in growing markets
- **C** The model brings in too much cash
- **D** Nothing ready to replace its profit

ANSWER

✓ Nothing ready to replace its profit

Why: When that model fades, nothing new is ready to take its place.

2 A balanced range

Round 1

You want a balanced range of models.

Which two should the range include?

- **A** Models in growing markets
- **B** Models that bring in steady cash
- **C** Only models in shrinking markets
- **D** One model for every buyer
- **E** Only models with a small share

ANSWER

✓ Models in growing markets
✓ Models that bring in steady cash

Why: Steady earners pay for the models that will earn in future.

3 Rank market growth

Round 2

Three of your models and their markets, sales last year and this year.

Order by market growth, fastest first?

- **A** 5,000 to 6,000 cars
- **B** 40,000 to 40,800 cars
- **C** 10,000 to 11,000 cars

ANSWER

1. 5,000 to 6,000 cars
2. 10,000 to 11,000 cars
3. 40,000 to 40,800 cars

Why: Growth: 20%, 10%, 2%.

Topic tasks

4 Growth and share

Round 2

Your model in its market.

Market growth, and your share this year?

Market sales last year	**40000 cars**
Market sales this year	**50000 cars**
Your model's sales this year	**2000 cars**

ANSWER

25% growth, 4% sh

(50,000 − 40,000) ÷ 40,000 = 25%; 2,000 ÷ 50,000 = 4%

Why: Growth compares with last year; share is of this year's market.

5 Where cash goes

Round 3

Your leader in a slow market makes spare cash. A newer model has a small share of a fast market.

Where should the spare cash go, and why?

A The newer model in the fast market

B Back into the leader that earned it

ANSWER

✓ The newer model in the fast market

Why: Cash from a mature leader is best spent building the next winner.

6 Drop the old model?

Round 3

An old model has a small share of a shrinking market and makes a small loss.

What should you most likely do?

A Use it to fund new models

B Consider dropping it

C Cut its price to lead the market

D Spend heavily to grow its share

ANSWER

✓ Consider dropping it

Why: A weak model in a shrinking market rarely pays to rescue.

Final questions

Each pupil answers 6 final questions on product portfolio. They come from these 8 questions.

1. Research shows range anxiety is the main barrier to a used-EV launch. Which campaign response is most coherent?
   ✔ **Show verified battery health and real ranges**

2. A premium campaign promises a two-hour turnaround, but work usually takes four hours. Strongest conclusion?
   ✔ **The promise is not credible yet**

3. A model's sales have levelled off, most target customers know it, and rivals offer close alternatives. Which life cycle response is most coherent?
   ✔ **Defend profitable segments, refresh differentiation or plan replacement on evidence**

4. A small dealer cannot match a platform's scale but has trusted expertise in wheelchair-accessible vehicles. Most defensible position?
   ✔ **Focus on the specialist niche**

5. A dealer has strong electric-vehicle expertise but weak capital reserves. Which strategic choice best uses the evidence?
   ✔ **A focused EV service niche at small scale**

6. A dealer group's used-EV line has a small share of a fast-growing market. In the Boston Matrix, what is it?
   ✔ **Question mark**

7. Sales of a model grow fast and rivals begin to copy it. Which stage of the product life cycle is this?
   ✔ **Growth**

8. A model's sales have levelled off. Which action is an extension strategy?
   ✔ **Launching a hybrid version**